How to Calculate Your Tax Bill

Property taxes in Tennessee are calculated utilizing the following four components:

1. **APPRAISED VALUE** The Appraised Value for each taxable property in a county is determined by the county property assessor.

2. **ASSESSMENT RATIO** The Assessment Ratio for the different classes of property is established by state law (residential and farm @ 25% of appraised value, commercial/industrial @ 40% of appraised value).

3. **ASSESSED VALUE** The Assessed Value is calculated by multiplying the appraised value by the assessment ratio.

4. **TAX RATE** The Tax Rate for each county is set by the county commission based on the amount of monies budgeted to fund the provided services. These tax rates vary depending on the level of services provided and the total value of the county's tax base.

To calculate the tax on your property, multiply the Assessed Value by the Tax Rate.

Assume you have a house with an **APPRAISED VALUE** of $100,000. The **ASSESSED VALUE** is $25,000 (25% of $100,000), and the **TAX RATE** has been set by your county commission at $3.20 per hundred of assessed value. To figure the tax simply multiply the **ASSESSED VALUE** ($25,000) by the **TAX RATE** (3.20 per hundred dollars assessed).

$25,000/100 = 250 x $3.20 = $800.00 or ($25,000 x .03200 = $800.00)
for a tax bill of $800.00